

INSURANCE AND PENSIONS COMMISSION



**QUARTERLY REPORT
FOR
FUNERAL ASSURERS**

FOR THE YEAR ENDED 31 DECEMBER 2014

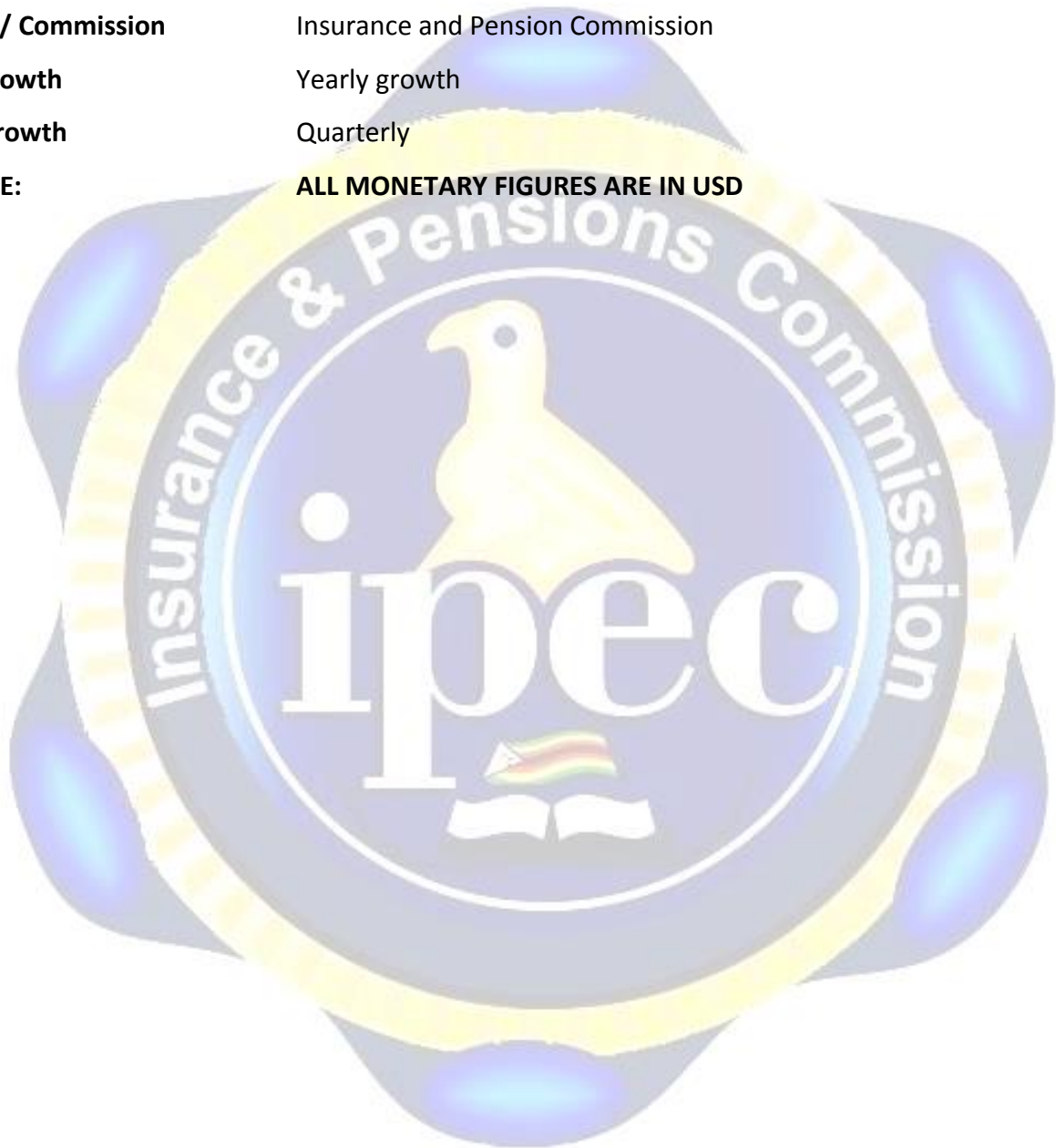
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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

This report is in respect of 9 funeral companies but does not include funeral business underwritten by life companies.

The funeral industry wrote \$36million in net premiums (December 2013:\$31 million). Total costs grew by 46% to close the year at \$32million from \$21million reported in the same period last year. Players reported \$4million in operating profit (December 2013:\$9million).The expense and combined ratios were reportedly 48% and 89% respectively (December 2013:49% and 70%).

As at 31 December 2014, total industry assets were \$47million from \$37million reported previously. The industry reported a low subscription rate to statutory paper. Measures are ongoing to ensure compliancy.

Table 1, below summarizes the aggregated financial indicators of the funeral assurance industry.

Table 1: Summary of Financial Performance by Funeral Assurance Industry

Financial Aspect	Funeral Assurers		
	December 2013	December 2014	Movement
Gross Premiums Written(\$000)	31,182	35,938	15%
Net Premiums Written (\$000)	31,176	35,923	15%
Retention Ratio	100%	100%	-
Total Gross Claims (\$000)	6,350	11,079	74%
Total Net Claims (\$000)	6,350	11,079	74%
Management Expenses (\$000)	12,792	17,512	36%
Commissions (\$000)	2,633	3,284	25%
Total Costs(\$000)	21,775	31,875	46%
Technical Profit(\$000)	9,401	3,917	(46%)
Expense Ratio	49%	58%	9%
Claims Ratio	20%	31%	11%
Combined Ratio	70%	89%	19%
Total Assets (\$000)	37,289	47,349	21%
Total Liabilities (\$000)	15,659	18,263	17%
Free Capital(\$000)	23,631	29,086	19%
Capital to liability Ratio	151%	159%	8%
Prescribed Assets (\$000)	40	63	58%
Prescribed Asset Ratio (%)	-	-	-

4.0 Update on Number of Operational Institutions

This report is based on 9 players.

4.1 Business Written

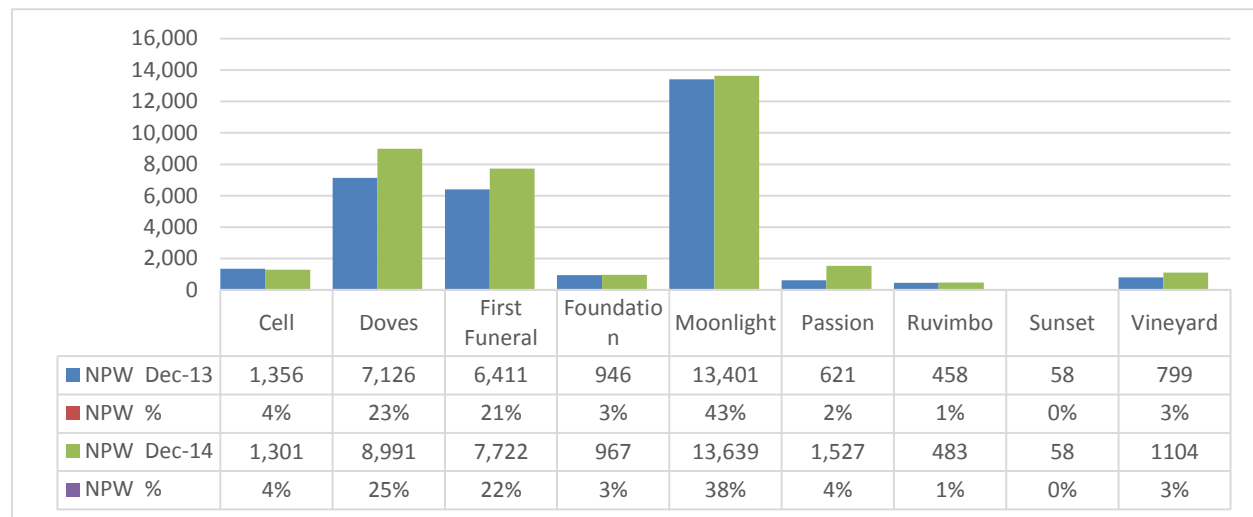
For the half year ended 30 December 2014, players wrote \$36 million in Net Written Premiums (Dec 2013:\$31 million), a 15% growth compared to the same period last year (See Table 2, below).

Table 2: Premium Distribution by Company for the year ended 31 December 2014

Company	Dec-13	Dec-14	Growth
Cell	1,356	1,301	-4%
Doves	7,126	8,991	26%
First Funeral	6,411	7,722	20%
Foundation	946	967	2%
Moonlight	13,401	13,639	2%
Passion	621	1,527	146%
Ruvimbo	458	614	34%
Sunset	58	58	0%
Vineyard	799	1,104	38%
Total	31,176	35,923	15%

For the year ended 31 December 2014; 84% of net business was written by the three biggest players. Players are encouraged to continue to develop micro-insurance products so as to capture the financially excluded market (see Figure 1, below). IPEC encourages players to target the informal sector as the banking and communication industries has developed money transfer platforms that allow people in the informal sector to be accessed more easily than before such as Ecocash, Telecash and One Wallet.

Figure1: Market Share by Net Premium Written for the year ended 31 December 2014



5.0 Business Composition

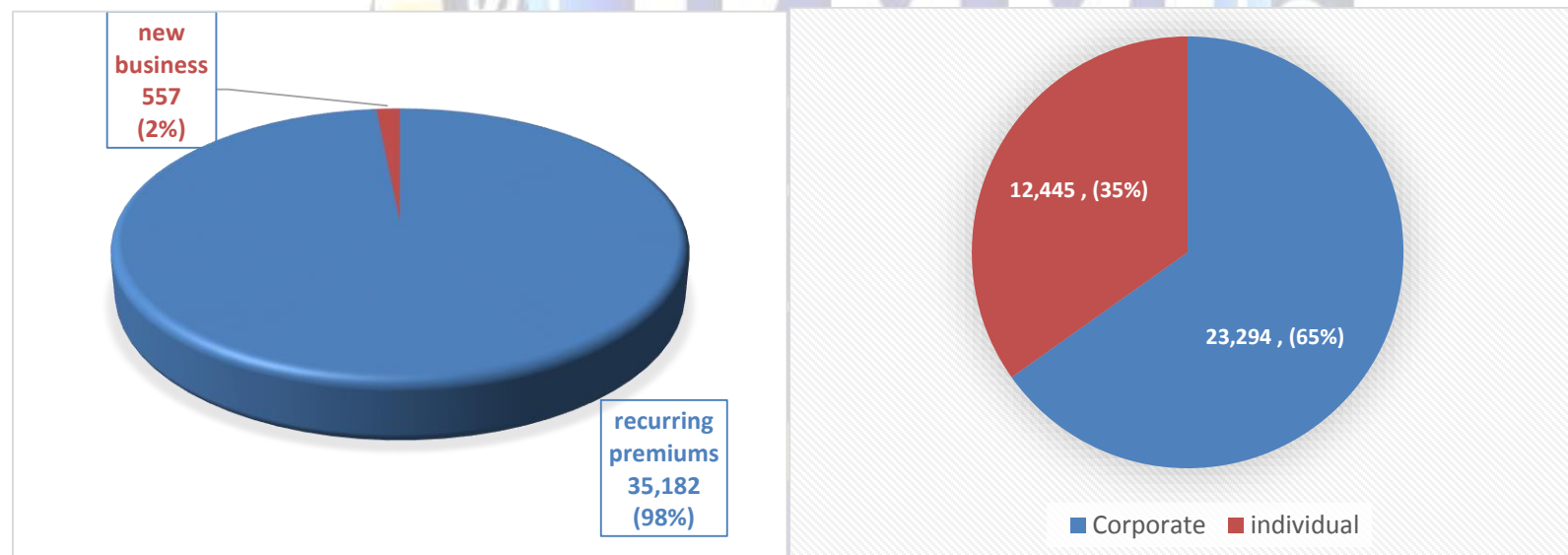
For the year under review, the industry wrote \$36 million in gross premiums. \$557 000 or 2% of the premiums emanated from new business with recurring business contributing the balance amounting to \$35 million. This represented a 15% growth from \$31 million reported in the same period last year.

Individual life business represented 35% of the total business underwritten by funeral companies in the year 2014. Corporate business contributed 65% of the premiums received by life companies. This further buttresses our contention that life companies should consider focusing their attention to the informal market which has been growing ever since the country dollarized (See Table 3, and Figure 2 below).

Table 3: Business Composition by Company for the year ended 31 December 2014

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business Premiums			Recurring Premiums			New Business			Recurring Premiums					
	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth
Cell	30	0	-100%	49	503	927%	0	0	0	1,277	813	-36%	1,356	1,316	-3%
Doves	8	119	1388%	1,435	1,325	-8%	130	203	56%	5,553	7,344	32%	7,126	8,991	26%
First Funeral	62	28	-55%	6,349	7,694	21%	0	0	0	0	0	0	6,411	7,722	20%
Foundation	22	7	-68%	924	760	-18%	0	0	0	0	0	0	946	967	2%
Moonlight	0	0	0	1,031	128	-88%	141	159	13%	12,229	13,352	9%	13,401	13,639	2%
Passion	14	8	-43%	134	389	190%	11	19	73%	462	1,111	140%	621	1,526	146%
Ruvimbo	0	0	0	458	614	34%	0	0	0	0	0	0	458	614	34%
Sunset	0	0	0	64	59	-8%	0	0	0	0	0	0	64	59	-8%
Vineyard	201	1	-100%	598	810	35%	0	13	0	0	280	0	799	1,104	38%
TOTAL	337	163	-52%	11042	12,282	11%	282	394	40%	19,521	22,900	17%	31,182	35,938	15%

Figure 2: Business Composition by Company for the year ended 31 December 2014 (000)



7.0 Not-taken Up policies and Lapsed Policies

For the current reporting period, funeral assurers reported not-taken up policies amounting to \$200 000. Given reported gross premiums of \$36 million, this signifies a negligible ratio of less than 1% of written business. Players also reported largely satisfactory lapse ratios signifying fair ethical market conduct practices (See Table 4, below). The Commission however encourages ZIFA members to maintain high levels of professional conduct and ethical practice for the good of the insuring public.

Table 4: Not-taken up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	0	0	0
Doves	0	0	0
First Funeral	31	42%	0
Foundation	1	68%	0
Moonlight	93	0	12%
Passion	0	0	-
Ruvimbo	75	27%	19%
Sunset	0	15%	0
Vineyard	0	5%	3%
Total	200		

8.0 Claims Aged Analysis

With the nature of business, funeral institutions should expeditiously settle all legitimate claims. As such the Commission is engaging institutions with ageing claims to establish the reasons for such status quo which promotes reputational and legal risks to the industry (See Table 5 below)

Table5: Claims Aged Analysis

Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	22	0	4	0	3	13	0	0	0	42
31-60days(000)	0	0	8	0	0	0	0	0	0	8
61-90days (000)	0	0	8	0	0	0	0	0	0	8
91-120days (000)	0	0	6	23	0	0	0	0	0	29
<121 days (000)	0	0	106	0	0	0	0	0	0	106
Reinsurance (000)	0	0	0	23	0	0	0	0	0	23
Total	22	0	132	46	3	13	0	0	0	216

9.0 Debtors Aged Analysis

For the year ended 31 December 2014, the industry recorded total premium debtors amounting to \$2,5million. This was higher than the \$2 million recorded in the previous quarter. \$584 000 of the premium debtors were above 120 days and the collectability of such premiums is highly doubtful. This means 23% of the outstanding premiums are above 120 days. Accordingly, the industry should timeously effect administrative measures on such policies including advising affected policyholders of this scenario and the downside well in advance before disputes arise at claiming stage.

Table 6: Debtors Aged Analysis

Company	Cell	Doves	FirstFuneral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	3	0	0	2	664	72	37	0	135	913
31-60days(000)	3	0	0	6	121	61	32	0	97	320
61-90days (000)	4	0	243	14	150	46	27	0	24	508
91-120days (000)	0	0	0	3	136	28	31	0	26	224
<121 days (000)	0	0	0	36	131	333	0	0	84	584
Total (000)	10	0	243	61	1,202	540	127	0	366	2,549

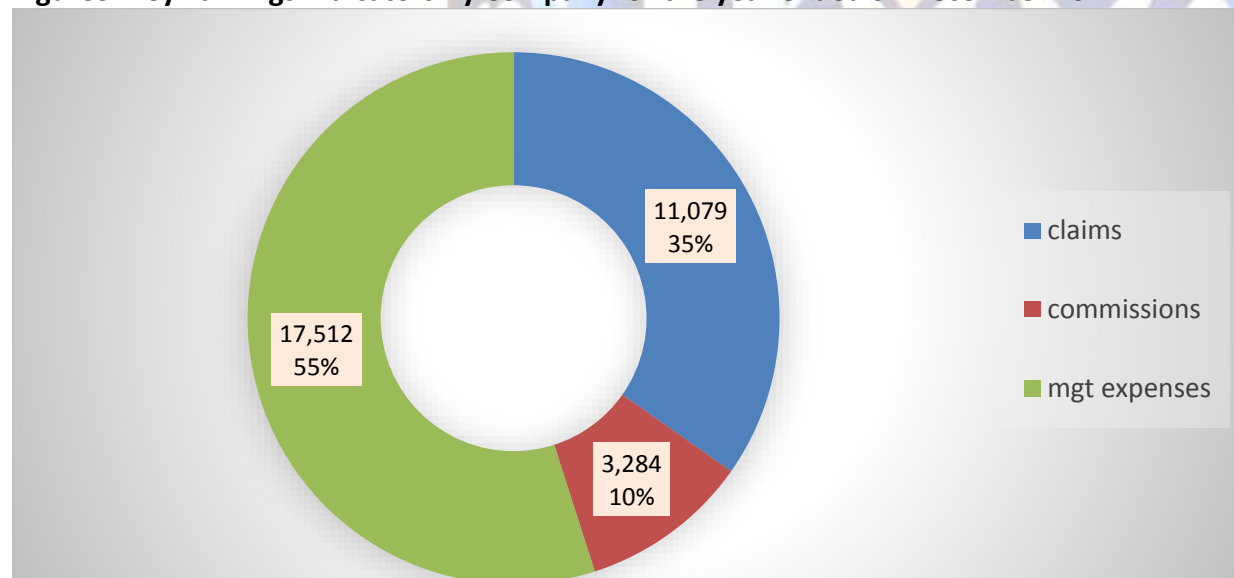
10.0 Earnings

The key earnings indicators for the funeral assurance industry are as shown in Table 7 and Figure 3 below.

Table 7: Key Earnings Indicators By Company for the year ended 31 December 2014

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	Dec 14	Dec 14	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	Growth	Dec-13	Dec-14	%	Dec-13	Dec-14	%
Cell	1,356	1,301	34	22	-35%	14	5	-64%	924	750	-19%	972	777	-20%	72%	60%	-8%
Doves	7,126	8,991	2,192	4,457	103%	424	776	83%	1,242	2,573	107%	3,858	7,806	102%	54%	87%	33%
F.Funeral	6,411	7,722	1,893	2,268	20%	1,053	1,693	61%	1,870	1,998	7%	4,816	5,959	24%	75%	77%	2%
Foundation	946	967	127	100	-21%	87	61	-30%	669	725	8%	883	886	0%	93%	92%	-1%
Moonlight	13,401	13,639	1,696	3,645	115%	967	639	-34%	7,230	9,982	38%	9,893	14,266	44%	74%	105%	31%
Passion	621	1,527	76	302	297%	20	42	110%	110	579	426%	206	923	348%	33%	60%	27%
Ruvimbo	458	614	125	55	-56%	9	18	100%	306	359	17%	440	432	-2%	96%	70%	-14%
Sunset	58	58	1	1	0%	4	1	-75%	42	43	2%	47	45	-4%	81%	78%	-3%
Vineyard	799	1,104	206	229	11%	55	49	-11%	399	503	26%	660	781	18%	83%	71%	-12%
Total	31,176	35,792	6,350	11,079	74%	2,633	3,284	25%	12,792	17,512	37%	21,775	31,875	46%	70%	89%	19%

Figure3: Key Earnings Indicators By Company for the year ended 31 December 2014



For the period under review, operational costs amounted to \$17.5 million or 55% of total costs (December 2013: \$12.7 million or 59%); claims - \$11 million or 35% (December 2014: \$6.4 million or 29%) and total commission was 10% or \$3.3 million (December 2013: 12% or \$2.6 million).

The industry recorded an average combined ratio of 89% (December 2013: 70%) exerting more pressure on profitability margins fuelled by ballooning management costs. The industry must prudently participate on profitable investment avenues such as in the bond market whose returns are upwards of 8-10% per annum.

11. Asset Quality

The total asset base of the funeral industry as at 31 December 2014 was as illustrated in Table 8 and Figure 4 below.

Table 8: Funeral industry Asset Base as at 31 December 2014

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	%
Cell	226	295	31%	16	16	0%	674	0	0%	155	826	433%	268	82	-69%	0	0	-	1,339	1,219	-9%
Doves	2,807	3,844	37%	110	5	-95%	103	103	0%	112	27	-76%	10,475	11,771	12%	10	23	130%	13,617	15,773	16%
F/Funeral	1,190	1,199	1%	11	16	-45%	0	0	-%	25	90	260%	3,543	6,160	-	10	-	-	4,779	7,465	56%
Foundation	1,395	1,395	0%	0	0	0%	61	34	-44%	39	28	-28%	498	678	36%	10	5	-50%	2,003	2,140	7%
Moonlight	10,926	9,357	-14%	0	0	0%	0	0	0%	39	28	-28%	917	4,068	345%	9	16	78%	11,891	13,469	13%
Passion	300	639	113%	0	0	0%	0	0	0%	74	38	-49%	781	999	28%	0	0	-	1,155	1,676	45%
Ruvimbo	703	1,086	54%	0	0	0%	0	41	-%	9	16	78%	940	750	-20%	0	2	-	1,652	1,895	15%
Sunset	1,703	1,686	-1%	0	0	0%	0	0	0%	0	0	-	107	23	-79%	0	0	-	1,810	1,709	-6%
Vineyard	621	1,310	111%	2	3	-50%	7	38	443%	44	38	-14%	369	597	62%	1	17	1600%	1,043	2,003	92%
Total	19,871	20,811	5%	139	40	-71%	845	216	7%	497	1,091	120%	17,898	25,128	40%	40	63	58%	39,289	47,349	21%

Figure 4(a): Funeral industry Asset Base as at 31 December 2014

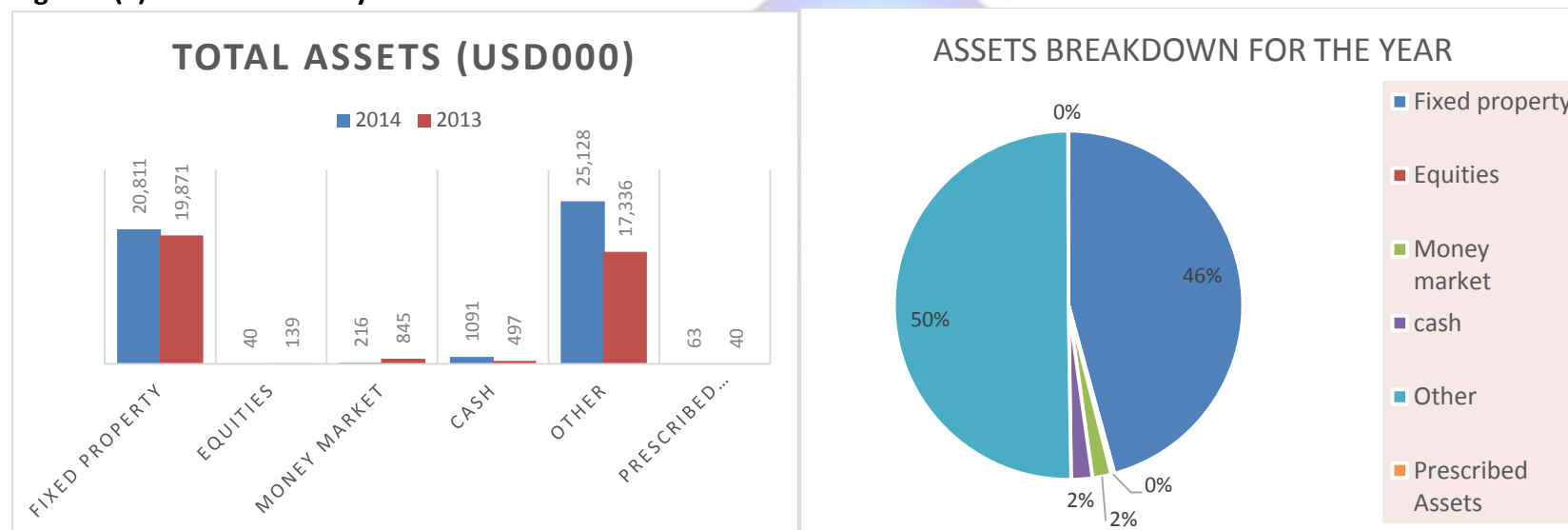
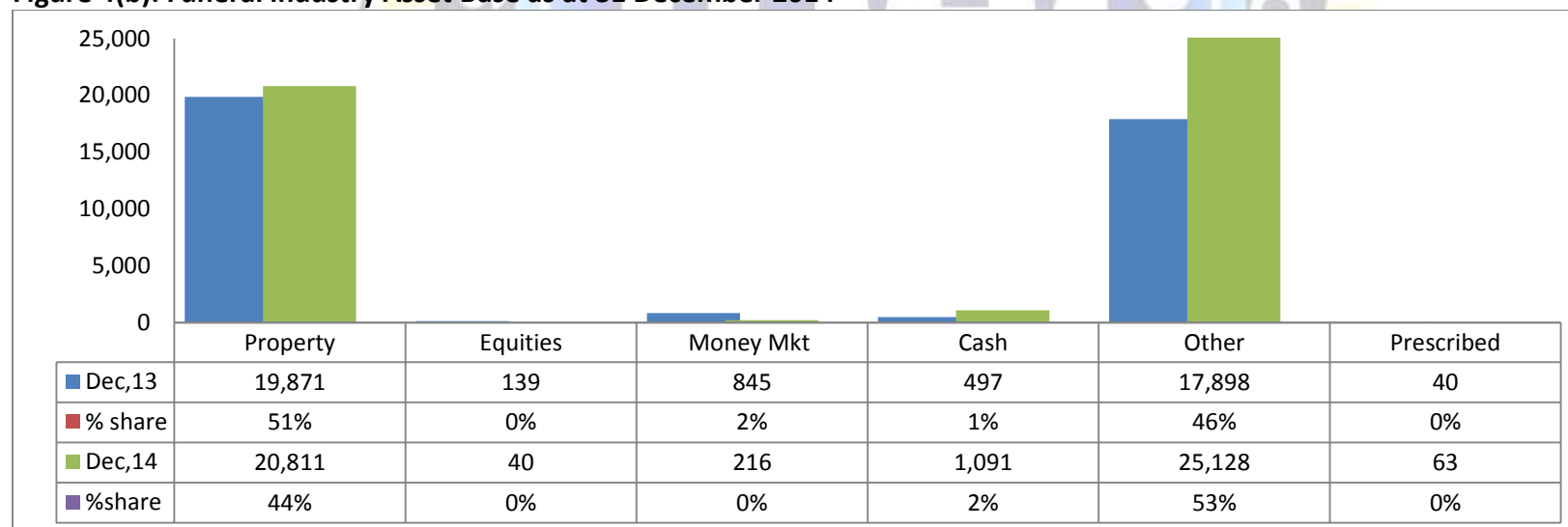


Figure 4(b): Funeral industry Asset Base as at 31 December 2014



As at 31 December 2014, the total asset base was highly skewed towards properties-44% or \$20.8million (December2013:51% or \$19.9million), equities-\$0.040million or 0 % (December 2013 0.14million or 0%), money market-\$0.22million or 0 % (December 2013: 0.85 million or 2%) cash assets-2% or \$1,09million (December 2013:\$0.5m or 1%) and other assets-\$25million or 53 % (December 2013:46% or \$17.9million).

The Commission is concerned with some players who are still to meet the minimum prescribed asset ratio regardless of the paper that has been floated in the market. IPEC has instructed the market to meet the minimum prescribed asset ratio or to at least come up with a plan on how to do so to ensure full compliance by 31st December 2015.

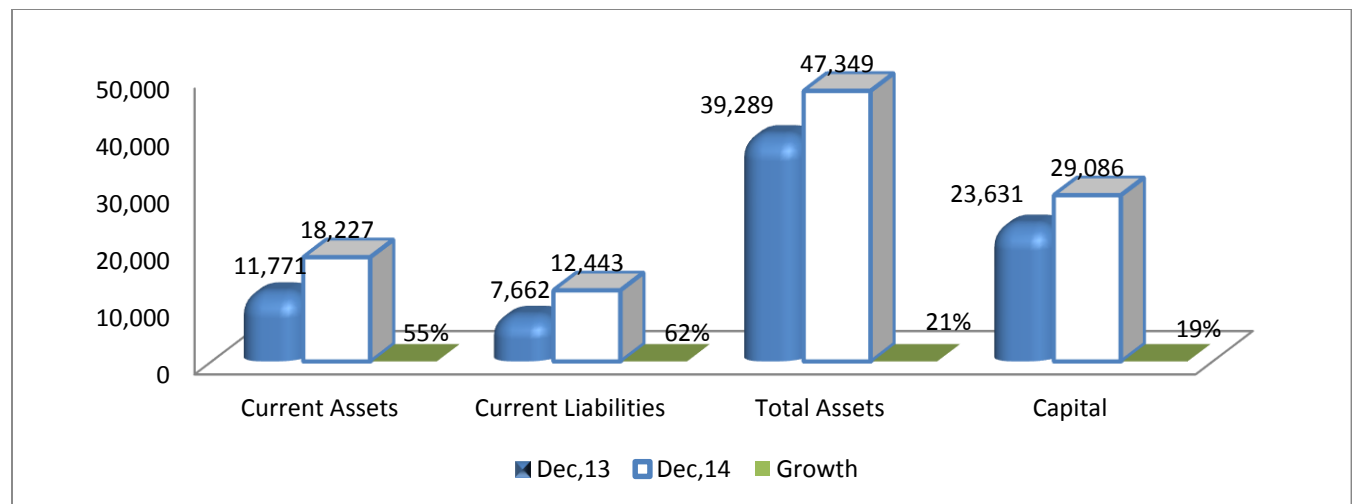
12. Capitalization and Solvency

Three entities failed to meet the minimum required capital levels. The Commission is engaging these players who failed to attain \$1 500 000 capital requirement in order to manage compliance risk (See table 9and figure 5 below).Players reported average capital to liability and liquid ratios of 159% and 146% respectively suggesting a reduced exposure to operational risk.

Table 9: Levels of Capitalization, Liquidity and Solvency Indicators the year ended 31 December 2014

Co.	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			NPW		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	Dec-13	Dec-14	%	Dec-13	Dec-14	%	Dec-13	Dec-14	Dec-13	Dec-14	%	Dec-13	Dec-14	%
Cell	924	923	0%	673	708	5%	1,339	1,219	673	872	30%	666	347	-48%	1,356	1,301	99%	40%	-59%	137%	130%	-7%
Doves	4,438	5,683	28%	905	1,269	40%	13,617	15,773	1,255	1,919	53%	12,362	13,853	12%	7,126	8,991	985%	722%	-263%	490%	448%	-42%
F/Funeral	3,589	6,265	75%	213	374	76%	4,779	7,465	578	659	14%	4,201	6,806	62%	6,411	7,722	727%	1033%	306%	1685%	1675%	-10%
Foundation	434	569	31%	336	477	42%	2,003	2,140	1302	1,786	37%	701	354	-50%	946	967	54%	20%	-34%	129%	119%	-10%
Moonlight	957	3,136	228%	4644	8,660	86%	11,891	13,469	10,597	11,909	12%	1,294	1,561	21%	13,401	13,639	12%	13%	-7%	21%	36%	15%
Passion	674	904	34%	296	317	7%	1,155	1,676	296	317	7%	859	1,359	58%	621	1,527	290%	429%	139%	228%	285%	57%
Ruvimbo	300	206	-31%	343	389	13%	1,652	1,895	504	389	-23%	1,148	1,506	31%	458	614	228%	387%	159%	87%	53%	-24%
Sunset	74	1	-99%	111	110	-1%	1,810	1,709	221	110	-50%	1,589	1,599	1%	58	58	719%	1454%	735%	67%	1%	66%
Vineyard	381	540	42%	141	139	-1%	1,043	2,003	233	302	30%	811	1,701	110%	799	1,104	348%	563%	215%	270%	388%	118%
Total	11,771	18,227	55%	7,662	12,443	62%	39,289	47,349	15,659	18,263	17%	23,631	29,086	19%	31,176	35,792	151%	159%	3%	154%	146%	-8%

Figure 5: Levels of Capitalization, Liquidity and Solvency Indicators



13.0 Summary Of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 10: Issued Circulars and Statutory Instruments for the year ended 31 December 2014

Details	Subject Matter	Issue date
Circular 1 of 2014	Calculation of capital for short term insurers	5 June 2014
Circular No.2 of 2014	Commutation of Pensions	11 April 2014
Circular No.3 of 2014	Dissolution of Pension Funds	03 August 2014
Circular No.4 of 2014	Calculation of Capital for non-life companies	10 September 2014
Circular No. 5 of 2014	Preparation of Financial Statements	9 October 2014
Circular No. 6 of 2014	Modernizing Insurance Regulation in Zimbabwe	9 October 2014
Circular No. 7 of 2014	Actuarial standards for Valuation of Pension Funds	21 October 2014
Circular No. 8 of 2014	Actuarial Standards for short term insurers	14 November 2014

Table 11: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Fidelity Life Assurance	Fidelity Life Assurance Bond-\$10million	Funding Development of South view Park	5years	11%	February 2014
NMB Bank	SMEs-\$10million	SMEs capitalization	2years	10%	July 2014
IDBZ	IDBZ Bond-\$65million	Infrastructure Development	5years	8%	November 2014
AGRIBANK/FBC BANK	Agro bank/FBC Agro bills-\$15million	To finance the cropping season	270 & 360 days	10%	July 2014
CBZ	Agro bills-\$105 million	Purchase of 2013/2014 grains by GMB	1year	9-12%	October 2014
ZB Financial Holdings	ZB Agro bills-\$10 million	To support 2014/15 Agricultural season	270 & 360 days	10%	October 2014
Bindura Nickel Corporation	Bindura Nickel Bond-\$20 million	Recapitalization of the mine	5years	10%	November 2014
IDBZ	IDBZ Bond Series 1:\$15Million	Funding prepaid meters	5 Years	8%	November 2014
IDBZ	IDBZ Bond Series 2:\$50 Million	Funding power generation project	5years	8%	November 2014

14.0 Antimoney -Laundering and Combating of Financing of Terrorism

For the quarter under review the Commission circulated or issued the following Act, circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 11: Issued Acts, Circulars and Statutory Instruments for the year ended 31 December 2014

Details	Subject Matter	Issue date
Money Laundering and Proceeds Of Crime Act Chapt9:24	A Money Laundering and Proceeds Of Crime Act	October 2014
SI 76 of 2014	Suppression of Foreign and International Terrorism	October 2014
Trafficking in persons Act		October 2014
Suppression of foreign and International Terrorism Act		October 2014
Extradiction Act		October 2014
Directive	AML/CFT(Updated Al-Qaeda Sanctions List)	December 2014

Conclusion

The report indicate that the year 2014 has not been easy for doing business with premium income dwindling, however funeral business remain one of the major profitable classes of business. The Commission encourages all players to be vigilant and innovative in 2015 and to develop products targeting the informal sector as some life companies have already started exploring the market.